



MBA EVENING
End of Semester Exams

MBA 8101: FINANCIAL AND MANAGERIAL ACCOUNTING

Date: 28th November 2022

Time: 3 Hours

INSTRUCTIONS: This paper contains two sections, Section A and Section B, Section A has one Compulsory question containing 50 marks and Section B has three questions of 25 marks each. Attempt any TWO.

SECTION A: This Question is compulsory

QUESTION ONE (50 Marks)

Use the case provided to answer this question.

(a) Briefly summarize the main business of the organization (4 Marks)

(b) Highlight Key incomes, expenses, assets, liabilities and capital of the company for 2020 and 2021. (Provide a maximum of three items based on material amounts). Suggest possible reasons for the changes in the figures from one period to the next. (22 Marks)

Use a table with the following headings

Item	2020 (sh.m)	2021 (Sh.m)	Change +-Sh.m	Possible reason(s) for change
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(c)(i) For each of the two years, compute the following ratios:

- Total Assets Turnover (2 Marks)
- Net Profit Margin (2 Marks)
- Return on Equity (2 Marks)
- Cash Return on Revenue (2 Marks)
- Current Ratio (2 Marks)

(ii) Using the financial statements and the ratios computed above, comment on the following aspects of the business over the two years

- Efficiency (1 Mark)
- Profitability (1 Mark)

-Cash Flow (1 Mark)

-Liquidity (1 Mark)

(d) Use the Balanced Scorecard to evaluate the performance for year 2021. Provide the Five Perspectives, mentioning one goal and one measure you are using to evaluate the performance (10 Marks).

Use a table with the following headings

Perspective	Goal	Evaluation supported with a measure
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QUESTION TWO (25 Marks)

Zest limited buys and sells various electronic equipment for home and business use. The following trial balance is applicable as at 31 December 2021:

Zest Limited		
Trial Balance as at 31 December 2021	Debit	Credit
	\$m	\$m
Land at valuation	130.00	
Buildings at cost	250.00	
Accumulated Depreciation for buildings		25.00
Furniture and Fittings at cost	90.00	
Accumulated Depreciation for Furniture and fittings		38.00
Office Equipment at cost	30.00	
Accumulated Depreciation for Office Equipment		8.00
Motor Vehicles	70.00	
Accumulated Depreciation for motor vehicles		34.00
Software License at cost	50.00	
Accumulated amortization for Software		30.00
Trading License(5-year)	20.00	
Accumulated Amortization for Trade License		4.00
Financial assets held for the long-term	22.00	
Inventory as at 1 January 2021	40.00	
Trade Receivables	57.00	
Expected Credit Loss		6.00
Financial Assets held for the Short term	4.00	
Bank	64.00	
Cash	2.00	
Trade Payables		54.00
10% Loan from ABC Bank (Payable in 2027)		50.00
5% Loan from EC bank (Paid annually at \$20m)		80.00
Ordinary Share Capital (Shares \$10)		250.00
Share Premium		109.00
Land revaluation Reserve		10.00

Financial Assets Revaluation Reserve		4.00
Retained Profits as at 1 January 2021		113.00
Purchases	140.00	
Discounts received		1.00
Sales		245.00
Administration Expense	60.00	
Selling and Distribution Costs	18.00	
Finance Cost	10.00	
Tax Paid	4.00	
Dividend Paid	5.00	
Investment Income		5.00
	1,066.00	1,066.00

Relevant Notes:

1. The inventory at the end of the year is \$35 million
2. All the depreciation for the year has been provided
3. The Income tax expense for the year is \$5 million
4. Administration expense unpaid is \$0.15 million, while selling and distribution expense prepaid amounts to \$0.05 million.

(a) Prepare:

(i) The statement of Profit or Loss for the year ended 31 December 2021 (8 Marks)

(ii) The statement of financial position as at 31 December 2021 (8 Marks)

(b) The lack of ethical and professional conduct by accounting and finance professionals, with the senior management has led to many financial reporting scandals (preparation of fraudulent financial statements and creative accounting) and the collapse of companies.

Required:

(i) Highlight THREE factors that may motivate a company to prepare fraudulent financial statements and practice creative accounting (**3 Marks**)

(ii) Recommend THREE mechanisms that various stakeholders can utilize to minimize fraudulent financial reporting and creative accounting (**3 Marks**)

(iii) Highlight THREE aspects of ethical and professional conduct that accounting and finance professionals (and by extension senior management) of a company should have to deter fraudulent financial reporting and creative accounting (**3 Marks**).

QUESTION THREE (25 Marks)

(a) Harvester Limited makes and sells soil testing devices and other farm implements to farmers in East Africa. Michael, the marketing director is negotiating with Magdalene, the managing

director for a higher allocation of budget to advertising the soil testing devices. Michael claims that “the higher the advertising expense, the higher the revenues for soil testing devices”.

So, Magdalene requests Michael to prove it and Michael presents the following data on advertising costs and revenue for the year ended 30 June 2022:

Month	Advertising Expense	Revenue
	sh.	sh.
Jul-21	200,000.00	3,000,000.00
Aug-21	400,000.00	6,000,000.00
Sep-21	200,000.00	4,000,000.00
Oct-21	300,000.00	6,000,000.00
Nov-21	100,000.00	3,000,000.00
Dec-21	100,000.00	4,000,000.00
Jan-22	200,000.00	4,000,000.00
Feb-22	200,000.00	5,000,000.00
Mar-22	200,000.00	3,000,000.00
Apr-22	300,000.00	7,000,000.00
May-22	100,000.00	4,000,000.00
Jun-22	400,000.00	6,000,000.00

Michael also presents the following regression output of the data:

SUMMARY REGRESSION OUTPUT					
<i>Regression Statistics</i>					
Multiple R	0.765282543	R Square	0.585657371	Standard Error	930949.3363
<i>ANOVA</i>					
	<i>df</i>	<i>SS</i>	<i>MS</i>	<i>F</i>	<i>Significance F</i>
Regression	1	1.225E+13	1.225E+13	14.13461538	0.003724583
Residual	10	8.66667E+12	8.66667E+11		
Total	11	2.09167E+13			
<i>Coefficients</i>					
	<i>Coefficients</i>	<i>Standard Error</i>	<i>t Stat</i>	<i>Lower 95%</i>	<i>Upper 95%</i>
Intercept	2,333,333.33	656037.7181	3.556706069	871590.2053	3795076.461
Slope	10	2.659855246	3.759603089	4.073473185	15.92652682

Required

(i) Michael claims that if advertising expense is allocated a budget of sh.500,000 in October, he is confident that revenues will exceed sh.7 million. Using the data from the regression output, confirm if this will be the case (4 Marks) 2 marks for regression formula and 2 marks for answer.

(ii) Magdalene explains that the budgetary allocation to advertising expense cannot exceed sh.400,000 per month due to other pressing needs of the organization. She advises Michael and his

team to work hard and use other marketing strategies to increase revenues. Magdalene says that she is confident that they can still achieve more revenues with less expenditure allocation if we use data provided by Michael. Determine revenues at the 95% confidence interval **(4 Marks)**.

(iii) Magdalene questions Michael to justify whether his regression data is reliable. Explain how Michael should do this. **(4 Marks)**

(b) The factory manager, Clement is looking at data on other farm implements that the company makes; Automatic Cow Drinkers, Water Pumps, Chicken Wire Mesh and Sprayers. In consultation with Michael, the company would like to determine the cost per unit of each implement and there after the price. Price is usually set at 50% markup.

The only issue is on whether to use traditional approach to absorb overheads or use Activity Based Costing (ABC).

The following data relates to the four products:

	Automatic Cow Drinkers	Water Pumps	Chicken Wire Mesh	Sprayers
Output in units	120	100	80	120
Machine Hours Per unit	4	3	2	3
	sh.	Sh.	sh.	sh.
Direct Material Costs per unit	400	500	300	600
Direct Labour cost per unit	280	210	140	210

The four products are usually produced in production runs of 20 units and sold in batches of 10 units.

The total production overhead costs are estimated as follows:

	Sh.000
Machine department costs (rent, supervision etc.)	100,430
Set up costs	52,500
Stores receiving	36,000
Inspection/quality control	21,000
Materials handling and dispatch	46,200
Total Production Overheads	<u>260,000</u>

For traditional costing, total production overheads are absorbed using machine hours. For Activity Based Costing the following are the cost drivers:

Cost	Cost driver
Set up costs	Number of production runs
Stores receiving	Requisitions raised

Inspection/quality control
Materials handling and dispatch

Number of production runs
Orders executed

The number of requisitions raised on the stores was 20 for each product and the number of orders executed was 42, each order being for a batch of 10 of a product.

Required

- (i) Determine the cost and price per unit using traditional costing (**5 Marks**) and Activity Based Costing (**6 Marks**)
- (ii) Comment on the suitability of Activity Based Costing for each product (**2 Marks**)

QUESTION FOUR (25 Marks)

(a) Copy Fox Limited is a local company that manufactures three models of printers i.e. PN001, PN002 and PN003. The management is unhappy about the current production mix and is seeking advice on the most optimal arrangement. Current production is 100,000 units of PN001, 50,000 units of PN002 and 60,000 units of PN003. The data relating to production costs for each unit of the printers are given below:

	PN001	PN002	PN003.
Production costs	Sh.	Sh.	Sh.
Direct material	3,000	9,000	6,000
Variable overhead	1,500	4,000	4,500

Additional information:

1. Each type of printer passes through three departments in which a different type of labour is used. The labour requirements in each department are given below:

Department	Rate/ hour	Labour Requirement (hours)		
	Sh.	PN001	PN002	PN003
1.	200	3	4	6
2.	400	1	2½	4
3.	300	5	7	9

2. There is a shortage of labour in department 2 and it is not possible to increase labour input hours beyond the level currently level.
3. Fixed overheads are budgeted at Sh.500, 000,000 per annum and they are expected to remain constant.
4. Market price is currently Sh.12,000 for PN001, Sh. 20,000 for PN002 and Sh.22,500 for PN003.
5. A recent market survey disclosed that maximum sales potential for the company is 125,000 units of PN001, 75,000 units of PN002 and 80,000 units of PN003.

Required:

- (i) Determine the profit made on the current production mix. **(6 marks)**
- (ii) Determine the most profitable production mix that should be adopted by the company **(7 marks)**
- (iii) Calculate the expected profit if the production mix in (ii) above is adopted by the company. **(2 marks)**
- (b) Lean thinking is defined as the goal of reducing or eliminating wastes throughout the value chain of an organization, focusing only on the activities that create value for the customer.

Required

Using a suitable example, discuss the FIVE potential steps that aid in this process **(10 Marks)**.